

Procure Space ETF

SPCX NASDAQ

Hold	\$144.12 ▼ 2.72%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.90T
------	------------------	------------------------------	--------------------------------------	-----------------------

SPCX: Space ETF Cools as Merger Chatter Muddies Picture

WHAT HAPPENED

- SPCX dropped 2.7% on lighter volume — this is the third straight down day after peaking at \$151 on Sept 11. The catalyst appears to be that Big Short-style warning (Eisman's former partners) saying the upcoming SpaceX and Anthropic IPOs could suck liquidity out of the market — meaning investors sell existing space/AI names to fund the new hot IPOs.
- Musk floating a Tesla/SpaceX merger again is adding noise, not clarity. When the biggest private space company keeps changing its structure story, ETF holders get nervous because SPCX's whole thesis leans on the space economy narrative that SpaceX anchors.

WHY IT MATTERS

The pullback here isn't about space fundamentals breaking — it's about positioning. When smart-money folks warn that mega-IPOs are coming, holders of adjacent names (like SPCX) trim early to raise cash, which is exactly the volume pattern we're seeing (declining volume on down days = distribution, not panic). The bigger tell is that the Air Force just announced it's deploying space-control weapons into orbit — that's a direct, dollar-for-dollar tailwind for the defense-heavy names inside SPCX (think Rocket Lab, Redwire, satellite defense contractors). So you've got a real policy tailwind fighting a technical/positioning headwind, which usually resolves sideways-to-up once the IPO overhang clears.

POLICY & POLITICAL WATCH

The Space Force budget is the single most important number for SPCX right now — the FY2027 defense authorization is being marked up in Congress this fall, and early drafts show space-control and orbital defense line items growing double digits. Add to that today's IBD story about the Air Force actually deploying space weapons into orbit — that's execution of policy, not just talk, and it means contracts are flowing. Watch for any Continuing Resolution drama in late September; if the government shuts down or defense spending gets frozen at prior-year levels, SPCX's growth names lose their near-term catalyst.

IS IT EXPENSIVE?

SPCX is trading at 33% of its 52-week range (\$104-\$225), so it's had a rough correction from the highs — but at \$144 it's still up massively from the lows. Because it's an ETF, you're really paying for a basket where the underlying holdings trade at premium multiples (many space names trade at 8-15x sales, meaning investors pay \$8-15 for every \$1 of revenue — expensive because the space economy is still early). Fair on fundamentals, but not cheap enough to back up the truck.

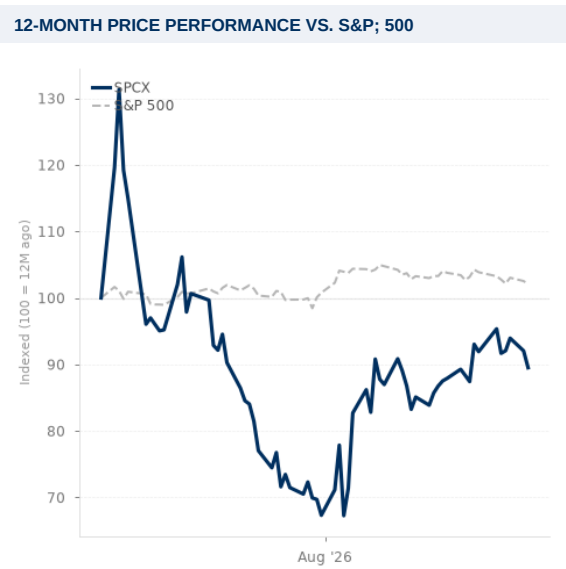
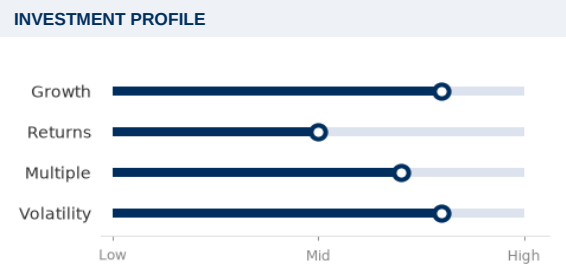
WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-09-15 17:16 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data	
Price (USD)	\$144.12
12M Price Target	\$165.00
Upside / (Downside)	+14.5%
Market Cap	\$1.90T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$158.00	\$148.00	\$135.00
6 Months	\$180.00	\$160.00	\$125.00
1 Year	\$210.00	\$165.00	\$115.00
2 Years	\$260.00	\$190.00	\$100.00
5 Years	\$380.00	\$260.00	\$90.00
10 Years	\$600.00	\$400.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today, +1.7% for the week) — likely tied to geopolitical tension and the reality that space/defense buildouts are energy-intensive.

COOLING OFF: Industrials (-2.75% for the week) and Tech (-2.1%) — this is the exact peer group SPCX sits between, so the weakness is category-wide, not company-specific.

ROTATION WATCH: Money is rotating OUT of high-multiple growth (tech, industrials, space) and INTO hard assets (energy, materials stabilizing). That's a classic "make room for IPOs and de-risk into year-end" pattern.

RELATED PLAY: If space keeps getting funded, the ground infrastructure plays win too — satellite ground stations, launch facility operators, and specialty semiconductor names that go into satellites benefit even if SPCX itself chops around.

WHO'S WINNING IN THIS SPACE?

- XLE (Energy Select ETF): Winning because oil is bid on geopolitical risk and energy demand from data centers/space infrastructure keeps growing.
- Defense primes (LMT, RTX, NOC-type names): Benefiting from the same Space Force budget tailwind but without the speculative multiple SPCX carries.

SPCX CONTEXT: SPCX is lagging pure defense right now because it's viewed as higher-beta space exposure — meaning it moves 1.5-2x whatever the sector does. That's fine in up markets but painful in weeks like this one. The lag tells us the market currently prefers proven defense earnings over speculative space growth.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis but the near-term setup is messy with IPO overhang and budget uncertainty.

POSITION SIZE: 2-4% — this is a thematic ETF, not a core holding. Sized to matter if it works but not blow you up if it doesn't.

ENTRY POINTS: I'd add on pullbacks to \$135-140. If it breaks \$130 on heavy volume, step back and reassess — that would signal the IPO rotation thesis is really playing out.

TIME HORIZON: 12-24 months. The catalyst is the FY2027 defense budget passing and the SpaceX IPO actually pricing (which would re-rate the whole basket).

WHEN TO BAIL: If Congress cuts Space Force funding, if SPCX breaks below \$115 (the lower end of its recent range), or if the defense narrative shifts away from space.

HEDGING: Simplest hedge is just to size it small. If you want to get fancy, pair it with a broader defense ETF (like ITA) — you keep the space upside but reduce the volatility from ETF-specific holdings.